Objective

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Letter to our shareholders

Financial Year 2023

Objective Corporation Limited (ASX: OCL)

OBJECTIVE.COM

From Tony Walls

CEO, Objective Corporation

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Fellow Shareholders,

I am pleased to report our results for financial year 2023 (FY2023); in line with the guidance we have communicated throughout the year and recognising that FY2023 would be a transitional year for number of one off factors.

Our group revenue grew by 4% to $110.4 million (FY2022: $106.5 million), EBITDA decreased by 15% to $26.0 million (FY2022: $30.7 million), Net Profit After Tax (NPAT) remained constant at $21.1 million (FY2022: $21.0 million).

As we outlined at our last AGM in November 2022, this past year we made decisions that we knew would impact FY2023 revenue growth and profitability, but would contribute to better customer experiences and set us up for medium to long-term growth. We drove down Perpetual Right To Use (PRTU) software revenue to just $2.0 million in FY2023 and reduced services revenue as we directed our services teams to develop capabilities to accelerate customer deployments and lower the cost to customers for implementations. We also continued to invest in our people, the most important driver of our success, and also in bringing our people and customers together to interact in person. We knew that all of these decisions would impact our FY2023 results, but we are committed to continue building a sustainable company for the benefit of our customers, our employees and our shareholders.

Our FY2023 financial outcomes were driven by four key themes:

ARR focus – Across our company, the focus on driving ARR is laser sharp. We know this is the path for an enduring business. This year, recognised recurring revenue reached a record 80% of total revenue, and over the past seven years, recognised revenue from our software as a service (SaaS) products grew at c30% CAGR. This gives us strong confidence in our growth aspirations.

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During FY2023, we ended PRTU licensing for Objective ECM, the final product in our portfolio to transition, so we are now a completely subscription software company. We also welcomed our first customers to Objective Nexus in Australia and the UK. This is a key step in our strategy to assist our existing on-premise Objective ECM customers to transition to the cloud with Objective Nexus, our next generation SaaS information management product.

At net 10% ARR growth for the year past, there is no denying we ended shy of our 15% ARR growth target. We had material roll-offs in the term contracts we inherited with the Simflofy acquisition, a material deal slip in New Zealand and some unexpected machinery of government downgrades in the final weeks. Given that FY2023 was a transitional year, we also discontinued the low margin non-core Managed IT Services business that we inherited with the MBS acquisition. In aggregate, these adjustments made up the gap.

On the positive side, Planning & Building (excluding the impact of Managed IT Services) delivered 17% ARR growth and Regtech delivered 21% ARR growth.

We start the new financial year with solid momentum in all business lines and have every reason to believe that 15% organic net ARR growth is an appropriate target for FY2024.

We look at ARR growth as having two sides – we want to grow our customer base but importantly we also want to make sure that we keep everyone who is already a part of our customer family. Our customer relationships are measured in decades, not years, and we invested in customer success programs that deliver exceptional value to our customers.

Repeatable deployment models – we progressed work on frameworks designed to reduce the cost and time to deploy software for customers. For Objective ECM, we now have a program to streamline the transition to Objective Nexus, including leveraging the capabilities of Objective 3Sixty. And we invested in tools and processes in our services business to accelerate the rollouts of Objective RegWorks while reducing the services capacity required to implement each dollar of software ARR.

While the short-term effect of replacing traditional professional services projects with lighter-touch deployment models impacted services revenue and margins in FY2023, our customers benefit from faster implementations and we will continue to improve our ratio of services revenue to ARR in future years.

Investing in our people – recognising the invaluable contributions our people make to Objective in building the future of our company, we protected our existing staff base by meeting market salary rates. And on the back of broader tech industry staff reductions, filled roles that had been open for some time; thanks to the attractive value proposition we present as an employer of choice. This year we were certified by Great Place to Work, a global research company who describe themselves as “The Global Authority on Workplace Culture”.

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We're also attracting people from the industries our customers operate in, building more domain experts who speak in our customers' own language, who understand customers' challenges at unparalleled depth and who can provide product management that encodes industry best-practice into our products.

Broader economic challenges and downturns in the labour market provide us with a greater pool of outstanding talent, from all industries, that we can welcome into the Objective family and set us up for the future.

Bringing people together – with all of the digital collaboration tools at our disposal, and while supporting flexible and hybrid working, nothing compares with the buzz people get from working together in person. Within Objective, we've held kick-off events across our various offices, run regular induction sessions in Sydney HQ for new employees and ensured our executive leadership team work with their geographically dispersed teams in person on a regular basis. With customers, in-person pre-sales meetings and software demonstrations undoubtedly accelerate sales cycles and real-life customer advisory boards give us more insightful learnings to bring into product development and promote stronger advocacy. It does however mean that travel, and associated costs, have now reset to pre-pandemic levels.

HIGHLIGHTS OF FY2023

The highlights for FY2023 embody our mission in action; **to deliver outstanding digital government software, driving stronger communities and nations** as well as our unrelenting commitment to innovation. While it's a challenge to keep the highlights to a concise list, each that I share with you below represents a project of national importance or demonstrates market-defining impact (some of them, both!).

Objective Build revolutionising the building sector in New Zealand

Launched late in FY2022, Objective Build has gathered momentum as the consenting solution of choice for local government authorities in New Zealand. During FY2023 we carefully took our first 10 customers live and a further 15 have already contracted for rollout. To support this momentum we have aligned pricing of our products in this market, to present a stronger value proposition for customers to move to Objective Build, from either AlphaOne or GoGet.

We continue very significant investment in Objective Build to fuel its capabilities as an end-to-end consenting system and extend the value it brings to not only our council customers, but all participants in the broader construction ecosystem; from architects to builders, from homeowners to building consent authorities, the entire construction sector that contributes 7% of the GDP of New Zealand. It truly is a market-defining solution.

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National firearms register in New Zealand

We have been proudly working with the New Zealand Police to implement Objective RegWorks - now live at the NZ Firearms Safety Authority, Te Tari Pūreke - as the licensing system and register of all legitimate firearms in NZ = a project of profound national significance. We are humbled to have been trusted with this project at a new agency operating under new legislation. The large team of people who stepped up to deliver the solution took the responsibility for its success incredibly seriously. They were challenged, as was the product, and we are proud that Objective RegWorks was proven to be the right choice for such a high-profile project.

Objective Nexus in market and live at customer sites

Our first customers have gone live on Objective Nexus in both Australia and the UK, with more committed to our new platform in the year ahead. Launched in mid 2023, Objective Nexus is our next generation SaaS platform for new and existing Objective ECM customers and presents new market possibilities in all markets. The majority of organisations we work with today now have cloud-first strategies, seeking solutions that are always current in features, capabilities and importantly, security.

Objective 3Sixty – new customers, new partners, new markets

Following the acquisition of Simflofy in FY2022, and further focused development investment, we delivered Objective 3Sixty and we're now seeing real traction in the market for this product. We entered new partnership arrangements with Hyland Software, who along with their partners, are taking Objective 3Sixty to North American and European markets rebranded as Alfresco Federation Services. Through this channel, we welcomed a number of new customers; the UK Ministry of Justice and in the USA, Berkley Labs, Bank for International Settlements, and the Californian Department of Motor Vehicles where Objective 3Sixty provides integration and federated search for more than 1.6 billion records across multiple systems, helping them register 35 million vehicles and licence 27 million drivers.

Evolving opportunities for Objective Keystone in financial services and regulated industry

Objective Keystone continues to build an enviable position as a mission-critical system for financial institutions to meet their compliance obligations by streamlining the production of disclosure documents. We welcomed new customers including: Aus Super, Care Super and Dexus; and many customers expanded their use of Objective Keystone throughout the year increasing the number of and type of documents produced; and the opportunity continues to grow. New Zealand became the first country in the world to mandate climate-related disclosure for large publicly listed companies and insurers, banks and investment managers, to regulate recent green-washing practices. Objective Keystone is poised to leverage these opportunities in New Zealand and undoubtedly other geographies as new regulations emerge.

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UNWAVERING DEMAND FOR OUR SOFTWARE

Demand for our solutions comes from two directions:

1. the requirement for public sector and regulated organisations to demonstrate sound governance and comply with regulations, and
2. the desire to utilise technology to help efficiently transform operations.

In the face of the economic climate, or perhaps because of it; the organisations we target need outstanding software to deliver on their purpose, more than ever before. The expectations for digital government are growing and every dollar needs to go further. Technology is central to delivering government services more efficiently. For our customers, this directly translates to delivering improved community and national outcomes.

Regardless of the regulatory environment or governance obligations to which our solutions are applied, the benefits technology brings to transforming the way public sector and regulated industries operate, continues to drive uptake.

While most organisations have dramatically reduced, if not eliminated paper, many are seeking greater efficiency benefits through transformative changes that require end-to-end digital processes. In some markets we are defining this change, in the case of Objective Build, Objective Keyplan and Objective RegWorks, with a unique, process-specific solution in the markets they serve.

OUTSTANDING INNOVATION

Outstanding innovation remains at the heart of everything we do at Objective. It is through innovation that we can continue to help our customers deliver stronger communities and nations.

For the first time we committed 25% of our total revenue to research & development (R&D), this translates to $27.2 million and represented 33% of our total software revenue. Whilst possibly at a peak percentage, our investment in R&D has been greater than 30% of software revenue every year over the past 5 years.

This is a big commitment we make to our customers; that we take the future of their solutions very seriously.

During FY2023 the cadence of feature releases across all products was higher than we've ever delivered. As more of our solutions become SaaS, this trend will continue. For customers it means, once subscribed, they receive updates immediately. These might be small feature releases, significant version upgrades or critical security updates. Not only does this ensure their solutions remain evergreen, it avoids the need for out-of-hours upgrade projects and the need to produce a business case to seek budget for upgrades. The value this brings to our overall proposition is significant.

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Our customers are driving our investment decisions

Augmenting our investment in R&D, to know that we're investing it wisely, we've sharpened our focus on customers' use of our solutions.

Customer success is implemented in each line of business; with dedicated people helping customers get the most out of their investment in Objective solutions. These are the people we hire that have come from the same industries as our customers; we have planners from local government, product managers from superannuation funds, records managers from state government. They're our domain experts, who truly understand how to solve the challenges our customers face. But the responsibility for customer success doesn't lie solely on their shoulders. Every person at Objective understands the role they play in customer experience – it's in our DNA.

Beyond ensuring our customers maximise the value they get from our solutions, we're tapping into the wealth of insight they offer into how they use the software today and what they will need from it in the future – to ensure our software meets them there. From customer advisory boards to software telemetry for usage patterns, from involvement in industry associations to early adopter programs; all of this knowledge contributes to innovations and the prioritisation of development.

Security is always a priority for investment. Our customers trust our solutions to manage their business critical data, we take the responsibility very seriously and ensure that security is built into our products, infrastructure and processes. This is abundantly evident from the external accreditations listed on our website.

Artificial Intelligence and Machine Learning

There has been significant media attention on Artificial Intelligence. Objective has quietly and meticulously been researching, developing, and applying artificial intelligence (AI) to our solution portfolio for many years. Leveraging our domain knowledge has allowed individual solutions to apply industry advancements in computer vision, natural language processing, and generative AI to business challenges in ways that reduce customer burdens and increase overall efficiency. Let's explore a few examples :

- Our most advanced work is embodied within Objective 3Sixty, a Data Fabric delivering the tools to build and serve machine learning models leveraged both within the fabric and by our solution portfolio. 3Sixty can create and host natural language models, including large language models, declarative question and answer models, and leverage both on and off-platform artificial intelligence to enrich and transform data that flows through the fabric. Our innovative application of machine learning capabilities embedded into Objective 3Sixty allows customers to dynamically intertwine highly confidential, internally produced machine learning models with externally sourced open-source models and commercial AI services such as those from Amazon, Google, Microsoft, and IBM. This democratisation of AI means customers are not bound to a single AI provider and can

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leverage the most appropriate AI supplier for each use case without creating bespoke data access capabilities.

- Objective Keyplan has integrated Sentiment Analysis to aid councils in the consumption and resolution of issues the community raises on high-impact planning events. This allows council officers to address issues and complaints across high-volume channels quickly.

- Objective Trapeze has applied computer vision to place stamps on large plans in an automated fashion, always finding the white space to avoid obscuring any of the plan. This feature has reduced the time it takes Council Planning and Consenting Officers' to complete the task by up to 90% per set of plans. Computer Vision has also been applied to plan comparison, automatically highlighting subtle differences between submitted versions, assisting officers in assuring compliance with local and state planning regulations. The same technology has been applied to automatically detect plan details, plan type, scales, metadata, orientation, count objects and identify key elements in plan sets, reducing the time and effort required to submit a compliant planning application.

OUTLOOK

We have a lot to look forward to in FY2024 and beyond. The opportunities ahead of us are clearly defined in each of our business lines. We know exactly how to capitalise on them to reach the growth trajectory we target. In the year ahead, we are confident that our revenue and margin growth will return to the levels we have historically delivered.

While the market pace paused somewhat over the past two years, where the public sector, like most industries at the end of the pandemic, was chronically understaffed, conditions now are normalising. Government at all levels, wants to demonstrate that it is modern, efficient and investing in forward looking projects that enhance the delivery of services to the community.

There are product conversion opportunities within our large and loyal customer base, particularly from Objective ECM to Objective Nexus; and Objective Nexus presents an entire new market opportunity, and our go-to-market teams are working hard. Momentum has gathered for Objective Build. There are new business opportunities in new geographies, particularly Objective RegWorks in the UK and Objective 3Sixty in North America and Australia. There are new use case applications for our existing products particularly in the regulatory environment with Objective Keyplan into local government and Objective Keystone into financial services.

Of course, growth doesn’t happen on its own, it is our outstanding people who make it happen. We have built a sensational team here at Objective, across the whole business. In the current market conditions where others are cutting employees or the employees are rightly nervous about their company’s financial stability, we are seeing this as a great time to hire and we are out pursuing the best and brightest, from both the tech

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industry and the industries where our customers operate, to deepen our pool of expertise. Our ongoing investment in our people further drives our flywheel of innovation and we expect to continue to invest c25% of revenue on research and development in FY2024.

Our appetite for inorganic growth has not diminished. We are actively researching, identify and engaging with acquisition targets and in doing so, have established a deeper relationship with advisers and companies globally that are providing opportunities for us to assess and refining our models of due diligence and engagement. While valuations have moderated from the heights of the previous year, we're committed to our strategy of seeking the right fit for Objective. Any business we acquire must first complement our existing business and be aligned to our mission.

As our business has evolved into a subscription only software company, where we no longer have perpetual right to use contracts and all our software revenue is recognised over the life of the customers contracts, I've had to accept the advice of our auditors the need to recognise our R&D expense in line with our revenue. We will adopt this framework from FY2024, which will bring our policy into line with our listed software peers. This does not signal any less focus on the discipline with which we will invest, or our commitment on providing a "no BS" view of the financial performance of our business.

Finally, it is with the sense of acknowledgement of a milestone in Objective's journey, to recognise that after more than 30 years as a Director, Gary Fisher has decided to step down from the Objective Board. Gary has made an invaluable contribution to Objective, and he will continue to provide the Board with his insight and guidance. We will take this opportunity to bring a new set of skills and diversity to the Objective Board to complement other initiatives that we are pursuing to enhance our corporate governance framework, including releasing our inaugural ESG report.

As always, thank you for your trust and support.

Tony Walls
CEO, Objective Corporation

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